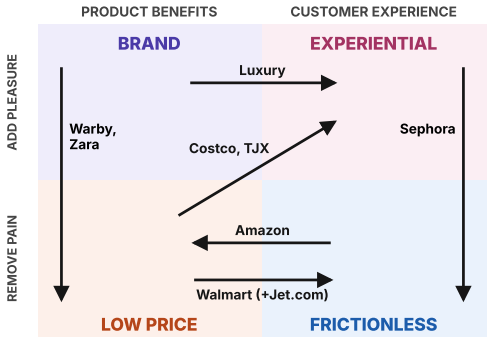
MKTG 6110 Final: MAX Cheat Sheet (1/2) · ★ SAMPLE-QUESTION TOPICS

① KAHN RETAILING SUCCESS MATRIX ★ sample MC

SAMPLE Amazon = **best at Frictionless, leveraging it to be best at Low Price, fair value at Brand & Customer Experience**. ✘ "Best at Experience & Brand" · ✘ "Best at Low Price & Brand" · ✘ "Best at Experience → Brand".

Why it exists: the "retail apocalypse." Customers go where they get the **best value on what they care about**; there are only 4 ways to offer superior value.



Arrow = **start strength → leveraged 2nd quadrant**. **Brand**: products pull you in (brands, design, curation). **Experiential**: fun (discovery, service, community). **Low Price**: operational excellence (EDLP, lean, cut middlemen). **Frictionless**: easiest (no lines, fast, one-stop, data personalization).

1. **Survive** = at least **fair value** (customers' minimum) in **ALL 4**. Below in any one → leave (RadioShack failed).
2. **Lead** = **best in 1 → leverage into a 2nd** ("arrow" strategy).
3. **Don't overspend** in the other 2; "good enough" is enough (extra spend drains your strengths).
4. **Bar keeps rising**: a leader's edge becomes everyone's new minimum (2-day delivery). Old view "best at 1" is no longer enough.

Trap: Amazon & Walmart = SAME 2 quadrants, OPPOSITE start. "Best at X, leveraging to Y": X = starting strength.

CLASS **Sim:** Getchells = **Macy's**, mid-tier dept store "**stuck in the middle**" (Sephora, TJX, Walmart, Costco win). Fair value = **75% of leader**. Spending moves you only if you **outspend rivals** over time ("sluggish"). Levers: online → F · shopping exp. → E · service → F+E · **vendor mgmt → LP** (best long-term; "manage costs even if not low price") · brand quality/private brands → B · analytics = booster · stores = access, not preference. Best teams: **lead 2 + parity 2**.

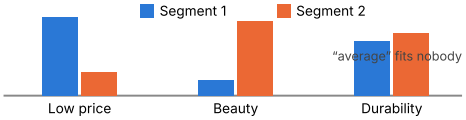
e.g. Brand: Nordstrom, Best Buy, Kroger, LV, Hermès, Lululemon, Glossier · Exp: Sephora, Apple Store, Eataly, Whole Foods, Trader Joe's, Stitch Fix, Duane Reade · LP: Walmart, Costco, T.J.Maxx, Burlington · F: Amazon · Sim: Cadabra=Amazon, PriceMart=Walmart, AIM=Target, BestCo=Costco, Zephara=Sephora, KT Benny=JCPenney

② WHAT MAKES A GOOD SEGMENTATION ★ sample MC

SAMPLE East/west by geography: good? → **"It depends on whether consumers WITHIN each division were relatively homogeneous in their reactions to marketing variables and the two divisions were sufficiently DIFFERENT from each other."**

Why the others are wrong: "distinct, no overlap" (separate on a map ≠ behave differently) · "geography never good" (too absolute: climate, culture) · "hard to observe/reach" (geography is EASY) · "heterogeneity WITHIN" = **backwards**.

Segmentation = split the market into groups to serve each well. "**Serving the average buyer well serves no one**"



Good segment: ✔ **homogeneous within** (react the same to the 4Ps) ✔ **heterogeneous between** ✔ identifiable ✔ reachable ✔ big/profitable enough ✔ **actionable** ("only valuable if actionable"). Firms **uncover**, not create, segments (reasons-why/AI, interviews, cluster, conjoint, latent class).

Type	Consumer	B2B
Geographic	zip, region, country	same
Demographic	age, gender, income, family, education	industry/SIC, size, sales, R&D
Psychographic	personality, lifestyle/VALS, media	culture, power structure
Attitudinal	**benefits sought**, price sens., loyalty	benefits, price sens., supplier loyalty
Behavioral	occasion, usage rate, repeat/CLV	application, order size, relationships

Benefit segmentation is best but benefits are **invisible** → find **observable variables that correlate** (aisle, usage). **Gender shortcut** ("tactical, but strategic?"): ① stereotypes ② shrinks market/alienates ③ people don't fit boxes ④ seems unfair. (It IS easy to observe.)

Quidel	Hopefuls (want baby)	Fearfuls (don't)
Who	older, more $, married	younger, less $, single
Promise	simplest, most trusted way to know your family will grow	peace of mind in 30 sec
Where / ext.	pregnancy aisle · ovulation	birth-control aisle · strep/STD tests
Price	$9.49	$6.99

Targeting	Attractive	Unattractive
Good fit	**Perfect!**	Domination essential
Poor fit	Beware shake-out	**Stay away**

e.g. Quidel (CEO Scott Glenn: "can't be all things to all people") · Sim 6 segments (Seg 1 online/low price → Cadabra; Seg 2 low price in-store → AIM/PriceMart; Seg 3 brand/experience → Zephara; Seg 6 low price + experience → BestCo) · Lululemon: suburban women 30–40s → men, global

③ BRAND ARCHITECTURE ★ sample MC

SAMPLE Firm managing risk; risky new-tech division; protect established brands → **HOUSE OF BRANDS**. ✘ Branded house · ✘ Brand repositioning / ✘ brand identity (not ways to organize a portfolio).

Brand architecture = how a multi-product firm names things: ONE company name vs EACH product its own. Trade-off: **save money by sharing a name** vs **protect each brand from others' problems**.

separate names · risk contained · costly ⟷ one name · cheap · shared risk

HOUSE OF BRANDS	ENDORSED	SUB-BRAND	BRANDED HOUSE
P&G, pharma	Loft by Ann Taylor	Amazon Prime, AWS	Virgin

Type	Example	✔	✘
House of Brands	P&G, Unilever, pharma, LVMH	own segments; **failure contained**; no dilution	**most costly**; internal competition
Endorsed	Loft *by Ann Taylor* → Loft	borrows parent credibility; can "graduate"	negative spillover
Sub-brand	Amazon Prime, AWS	independence + parent equity	can dilute master
Branded House	Virgin	**cheapest**; strongest single equity	**one failure hits all**

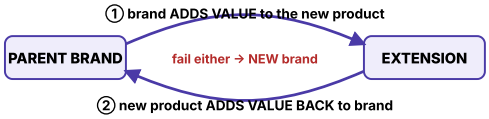
CLASS "House of brands is all new brands… **P&G** owns a million soap brands." Why: don't dilute, target different segments. **Pharma**: "too much risk. If one brand, God forbid, **kills people**, you don't want that to affect the whole portfolio" (= sample logic). "Branded house is obviously **cheaper**." **Endorsed**: Ann Taylor customers aged → "Loft by Ann Taylor" → Ann Taylor "older and tireder" → just Loft. **Sub-brand**: "keeping the name the whole time." **LVMH**: no extensions but **synergies**: back office, ad dollars, real estate (best locations, together), hiring/moving designers. **Toyota → Lexus** (luxury Toyota not credible); **Kia** moving up under own name ("will it work? I don't know").

Goals: strong brands · synergy · clarity · leverage. **Amazon = hybrid**: Basics (branded house) · Prime, AWS, Alexa (sub) · Audible (endorsed) · Zappos, Whole Foods, Twitch, Ring (house of brands).

④ BRAND EXTENSIONS & LUXURY ★ sample essay

SAMPLE Gucci/Hermès careful vs Pierre Cardin overextended: how to weigh **long-term equity vs short-term revenue**? **Grading:** does it **reinforce or dilute prestige/scarcity**? Short-term profit, but going too far into mass market isn't worth it. Must mention **luxury: too accessible / too available → loses cachet → loses luxury premium**.

Extension = famous name on a new product. CLASS 2 advantages: ① **leverage equity** ("much cheaper to introduce") ② **move the brand** (Mountain Man: older beer → young drinkers).



"Never extend a brand if it's weak… never extend if it's gonna weaken the original… two strong links."

Horizontal = new category, similar price (Clorox → wipes; Starbucks → bottled Frappuccino; **Lulu women → men**: women bought men's clothes first; Kahn wrongly doubted it). Risk: stretch too many ways → "lost what it originally meant." **Vertical** = same category, higher/lower price (BMW $160k vs $31.5k). **Down** sells volume but damages the top; **up** may not be credible → Toyota made **Lexus**; Kia tries own name; Amazon luxury? doubtful.

Luxury = scarcity/exclusivity · **heritage** ("can't be European luxury unless you're European luxury": 200 yrs = lasting advantage) · price premium (perfume 90–95% brand). **Pierre Cardin**: licensed everywhere → quick money, lost cachet. Hermès/Gucci extend only where the brand stays rare.

Brand × category grid: existing brand + existing category = **line extension** · existing brand + new category = **category extension** · new brand + existing category = **multi-brands** · new + new = **new brand**. **Reposition** when target market, competitors, or context change, or to stay fresh ("never let the brand age out"): Apple Computer → **Apple Inc.** (2007, iPhone day).

Essay framework: ① fit: reinforce or dilute? ② two-way test ③ direction (down = danger) ④ short-term gain (+ cannibalization risk) ⑤ long-term cost (measure: price premium, BAV, Interbrand) ⑥ alternatives (new/endorsed/sub-brand).

Keep fresh CLASS: **Schweppes** old & tired in COVID cocktail boom → **heritage** made modern · **Pepsi** music (incubates young musicians) · **Porsche** gaming showrooms · **LV × Supreme** · **silver bullet** (radical, risky). "Young people always rebel against what their parents do."

⑤ SUBSCRIPTION PERKS ★ sample essay

SAMPLE Free shipping, gifts, exclusive deals: 2 unintended consequences? **Grading:** ↑ signups but **erode margins** & **train customers to expect discounts**; some buy **only when offers exist** → **reduces incremental value**, may **cannibalize full-price sales**.

```
CLV = m × r ÷ (1 + i − r) − AC
```

m = yearly profit/customer · r = retention · i = discount (10%) · AC = acquisition cost. Multiplier r/(1.1−r): r .8 → **2.67×**; Costco ~.92 → **5.1×**.

Scenario	m	r	CLV
No perks	$100	80%	$266.67
Perks $25, r → 85%	$75	85%	**$255 ↓**
Perks $25, r → 88%	$75	88%	**$300 ↑**

Perks pay only if retention rises enough: here need ~**86%** to break even. Sign-ups alone prove nothing.

4 consequences: ① **margin erosion** (cost every order; heavy users cost most) ② **trained to expect discounts** (reference price ↓, wait for deals) ③ **deal-seekers → low incrementality** ④ **cannibalize full-price sales** (loyal buyers get discount for nothing).

CLASS Student: discount loyal buyers? Kahn: "**Oh, you do that? Not me. I raise price.**" Loyal = **less price-sensitive** (American Airlines in Philly: pay "crazy" prices for "three peanuts"). Subscriptions = **3-part tariff** (2nd-degree); freemium = **penetration**.

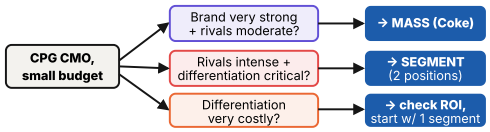
Better: tiers/thresholds · **non-price perks** (access, service, experiences) · **measure incrementality** vs control group · protect full-price integrity (esp. premium/luxury).

e.g. Amazon Prime · Costco (92.2% US/Can renewal; $1.33B fees/qtr, +14%) · American Airlines · Netflix · newspapers · Dropbox/AI freemium · Dollar Diaper Club

⑥ MASS vs TWO SEGMENTS ★ sample essay (25% × 4)

SAMPLE CPG CMO, limited budget: one mass positioning vs two distinct segments? **Grading:** mass = **lower cost, efficient media**, less tailored; segments = **more relevant**, complex/costly. Depends: (a) **competitive intensity** high + differentiation critical → segment (b) differentiation **very costly** → check **ROI** (c) **very strong brand** (Coke) → mass OK. **25% options · 25% cost · 25% competition · 25% brand.**

	Mass, 1 position	2 segments
✔	cheaper, efficient media, scale, simple	relevant, higher price, harder to attack
✘	"serves no one"; picked off by focused rivals; stuck in middle	2× products/ads/channels; splits small budget; may do both poorly



CLASS **Awareness-first** (Coke, Bud; mass CPG; **double jeopardy**: big penetration → more frequency) vs **passion-first niche** (BAV; Lululemon; "cost efficient & more realistic" with fragmented media; may not scale). Awareness without energized differentiation = **not a strong brand**. **Selectivity & concentration:** choose & focus. Quidel = 2 segments done right; Pringles = vague → kids/teens.

Recommend: "Mass only if brand strong & competition moderate; otherwise **concentrate on the best-fit segment first**, prove ROI, then add the 2nd."

✍ ESSAY RECIPE (9 pts each · answer EVERY part)

1 · 5Cs: ANALYZE
Customers → needs
Company → resources
Competitors → weak spots
Collaborators → shared goals (partners, stores)
Context → PESTLE
Opportunity? Yes/no
Facts → IMPLICATIONS
(not a list!)

2 · STP: STRATEGY
Segment: which ponds? alike in, different out
Target: which pond? attractive + good fit
Position: biggest fish
Target · POD · Frame of ref · RTB
"Where can I win?"
Select & concentrate

3 · 4Ps: EXECUTE
Product: + brand, extensions
Price: cost ↔ EVC, discrimination
Promotion: ads, message, perks
Place: channels, direct vs indirect
All must fit position

PESTLE = Political · Economic · Social · Tech · Legal · Environmental
Numbers: margin & break-even · BECR · chain · CLV · EVC

1 POSITION → 2 TRADE-OFF → 3 DEPENDS → 4 EXAMPLE → 5 REC+RISK

1. **Position** in sentence 1
2. **Trade-off** (short vs long term · cost vs relevance · margin vs volume)
3. "**It depends on…**" cost · competition · brand strength · customer
4. **Course example** (Pringles, Quidel, Acuvue, Bud Light, Amazon, Costco, Nike, Lulu)
5. **Recommend + biggest risk** (+ how to measure)

MATH = CONCEPTS ONLY (no calculations on exam)

UC = price − VC · **break-even** = fixed ÷ UC · **BECR** = new UC ÷ old UC (max OK cannibalization) · **EVC** = rival life cost − switch − running + extra value · **wCPM** = cost per 1,000 *target* reached. **Acuvue**: per *lens* Vistakon earns $2.00 vs One Day $0.40, but per *customer/yr* $208 vs **$292** → use the denominator = **binding constraint** (per unit if capacity is short, per customer if customers are). Patients pay more ($605.90 vs $468/yr); eye doctors earn less ($131 vs $208) → won't push → channel incentives matter. Positioning vs glasses ✘ → vs other contacts. **Always do margin analysis** (reveals incentives).

Price cut lowers UC → any added fixed spend (ads) needs **MORE** units: actions **interact**. New UC > old UC → **BECR > 100%** → cannibalization no problem. **Total break-even** is useful with no good forecast (is that volume attainable? screens out losers). **Inputs:** hard numbers > company/industry averages > educated guesses > **never wishful** (run sensitivity). Case math: no single right answer; pieces must fit; justify assumptions.

CLV (slides)

CLV = profit from a customer over all years in today's $ (margin × retention, discounted, minus acquisition cost). Concepts: 1-yr break-even looks bad, lifetime view looks good; **retention & discounting shrink value**; **averages mislead** (Avon: segments $1.89B vs average $0.87B). Uses: Mktg CAC ≤ CLV · Ops: service by segment · Fin: customers = asset. 80/20. Funnel: everything **before** 1st purchase = acquisition cost; **after** = CLV. Simple formula assumes **constant m and r**, year-end cash, infinite horizon (no growth). **Lever 1 Costs & Fit**: cut cost-to-serve, fire low-CLV, self-service, referrals/WOM. **Lever 2 Revenue & Loyalty**: premium tiers, cross/upsell, lock-in ecosystems. **Fader** models: mobile = pure contractual; also non-contractual, hybrid, 2-sided.

MKTG 6110 Final: MAX Cheat Sheet (2/2) · 🎤 STRESSED IN CLASS + rest

Exam: lecture only · no math · MC = BEST answer

⑦ MEASURING BRANDS: 3 WAYS & 2 OPPOSITE MODELS

Brand (Scott Cook): formally a trademark · conceptually a promise · **realistically = what consumers tell each other**. Brand = "modern patent" (vodka: commodity made different). Most firms **over-invest at the bottom of the funnel** (performance ads, measurable) and under-invest at the top (brand). **Brand building** = continuous, cultural, meaning · **product selling** (AIDA) = episodic, individual, attributes. **Identity loyalty** = brand represents the self (Nike; Bud Light risk).

① Customer-based (what's in the head)

Stage	Measured by
Awareness	**recognition**, **recall** (aided/unaided), **top-of-mind**, latency
Associations	asking "doesn't work well" → **conjoint**
Attitudes/emotion	**neuromarketing**: faces, arousal, eye tracking
Attachment	purchase history, conversion

Conjoint: people are "really bad" at stating importance → choose among bundles → back out weights. **Price premium**: plain vs logo T-shirt = brand value.

② BAV (Young & Rubicam; 800k consumers, 47k brands)

Energized Differentiation (→ margins) · **Relevance** (→ trial) · **Esteem** (→ loyalty) · **Knowledge** (→ saliency). **Strength = D + R** (future) · **Stature = E + K** (now). Grid: hi/hi Leadership · hi str/lo stat Unrealized potential · lo str/hi stat Eroding · lo/lo New.

AWARENESS FIRST (Coke, Bud)

1 everyone aware (big ads)
2 associations
3 attitudes
4 loyalty

PASSION FIRST (BAV, Lulu)

1 niche
2 loyalty
3 new segments
4 broad awareness

	Awareness first	Passion first (BAV)
Idea	"all publicity is good"; familiar gets bought	niche energy, then expand
e.g.	Coke, Bud; mass CPG (double jeopardy)	Lululemon: rich yoga women in Canada → US → men
✔	mass "average" categories	cheap, modern (fragmented media), scale via digital
✘	known but meaningless = stuck in middle (TV Guide)	may not scale; WOM may not spread; network effects

③ Interbrand (brand as financial asset)

```
intangible earnings × % due to brand → 5–10 yr forecast → discount by BRAND STRENGTH + terminal value
```

Strong, stable (Coke) → **low discount rate → high value**; trendy → high rate. % of earnings from brand: perfume ~95%, utilities 0%. **Uses**: brand equity isn't on the balance sheet → **justify spend to CFO**; M&A; **lawsuits**; monitoring. Public, profitable firms only; compare **within industry**; Top 100 = "PR mechanism."

> **e.g.** Apple $470.9B #1 (Coke #1 until 2013) · Nvidia +116% · Tesla −35%

⑧ PRICING BASICS: CEILING, FLOOR, IN BETWEEN

FLOOR = COST — **CEILING = EVC (max WTP)**

price set by COMPETITION + COMPANY

pool pill: $0.50 — real ≈ $10–20 (fairness, rivals) — $220 EVC

"Highest they'll pay? Where are costs? Price somewhere in between."

EVC = value in $, **in the customer's terms**; common in **B2B** (software, services, energy); consumer = more branding. Showing it **raises the reference point** even if you don't get it (EVs vs gas; efficient appliances).

> **Pool pill (Prof. Raju, 20,000 gal):** drain $1/1,000 = **$20** + refill $1/100 = **$200** = **$220** + headache (student: $450). Real price ≈ **$10–20**: ① **fairness** (~$0.50 chlorine) ② **competitive rivalry** ("$200 margin? I'll come in at $100" → $50…). No rivals + R&D story (pharma) → near EVC.

Floor, 2 ways: markup (cost + %: Costco ~11%, Walmart ~25%) vs **break-even** (each unit carries share of fixed: "really covering your cost"). **Widget** ($7, VC $1, fixed $4,500): 1,000 units → $1,500 profit; 750 → $0.

> **Right answer: LOWER price**: fixed-heavy → need volume, "**cover the fixed**" (raising loses $ at −5% or −33% volume). **Variable-heavy → RAISE** (Jesse's **omakase**: fish + chef time per seat; cheap front room covers the building).

Company factors: ① max profit (price discrimination) ② cover costs ③ product-line logic (premium can't be below cheap). **Competition = game theory: CAN** they match (costs)? **WILL** they? **Warby $95 vs Luxottica ~$300**: could crush, wouldn't (too much margin at stake, can't raise back; CEO waved it off). Raju advised Warby's founder.

⑨ PRICE DISCRIMINATION (legal, ethical, "fair")

Degree	How	Examples
1st	unique price per person (negotiate to max)	used cars, antiques, art, rugs, B2B (control sales force: they discount to close)
2nd	self-select trade-off, usually **quantity**	bulk; **2-part tariff** (razor+blades, HP ink, Keurig pods); **3-part** (subscriptions, newspapers); loyalty programs
3rd	by **segment**; less sensitive pay more	menu below

- **Skim** = start HIGH, drop (Apple; runway → ready-to-wear → T.J.Maxx) · **Penetration** = start LOW/free, raise (intro phone plans, first-timer coupons, **freemium**: Dropbox, AI)
- **EDLP** (Walmart, Best Buy) + **price match**: most stop searching; "price match ⇒ probably a cheaper price out there" · **High-low**: **loss leaders** pull you in, rest above EDLP; **cherry-pickers** hurt, "most people don't"
- **Random** (coupons, promo-code box) vs **periodic** (early bird, end of season, 3pm movies)
- **Secondary market**: students/seniors with **ID** (transaction cost fences it) · **Versioning** good/better/best (first class priced above its benefits; most buy middle)

> **Loyalty ≠ discount:** loyal = less price-sensitive → "I raise price."

⑩ PLACE & CHANNELS

Was Kahn's "least favorite P" (logistics) → now **favorite**: in mature categories, **go-to-market & experience = how you stand out**. **30–50% of final price** sits in the channel. Channels: sell/educate/demonstrate, **assortment** (**breadth** = # categories, **depth** = # choices within), comparisons, final price & promos, logistics.

Maker → Distributor → Retailer → Customer

+markup +markup +markup

indirect = double marginalization · DIRECT skips the middle (keep margin + data)

	Direct	Indirect
✔	full margin, control, **own DATA**	scale; they distribute; customers compare
✘	**hard to scale**, logistics on balance sheet, need awareness, may not fit how people decide	**double marginalization**, **channel conflict/power**, less control

Double marginalization: each member marks up separately → **customer pays more AND each earns less**. **Power & data:** "who owns the data = critical negotiation point" (Amazon, Dexcom × Apple Watch/Oura); US **car dealers** protected → **Tesla**: "not a car"; Amazon "can't live with/without." **Nike:** 2020 DTC + **CLV** push, cut wholesale (left running stores) → hard to acquire customers + supply chain → shoppers bought **HOKA, On, New Balance**, not Nike.com; innovation lagged → 2024 new CEO, **rebuild wholesale**.

Mid-tier dept stores stuck; Sephora beats Macy's. DTC brands (Bonobos) → Nordstrom/Amazon for **scale**; luxury → direct for **control**. **Mono-** (Apple) vs **multi-brand**; **national** (Coke) vs **private** (Kirkland). Retail failure = too many stores + inventory + **debt**.

⑪ PROMOTION: IMC · 6Ms · MEASUREMENT · MEDIA

MarComm ≠ one TV ad: every touchpoint. **IMC** = all tools, one message around the target (TV/radio, print, out-of-home, sales promo, POP, events, placement, personal selling, digital, PR, WOM). **Why now**: empowered consumers, fragmented media, silos waste spend; coordinated spend costs less, works harder. WOM = **13%** (online) / **26%** (offline) of sales impact.

Lever	Elasticity	Long-term growth?
Advertising	**≈0.1 (0–0.3) new, durables**	Minor
Sales calls	≈0.35 (early life cycle)	Major
Price · Price promo	≈−2.6 · −2 to −12 (storable)	Minor · **No**
Distribution · Innovation	≈1 (0.6–1.7) · positive	Major · Major
Satisfaction · Brand assets · eWOM	.4 · .33 · .24–.42	Major · Major · depends

Elasticity = % sales change per 1% more spend. eWOM bigger: low trialability, private use, less competition.

MARKET	MISSION	MESSAGE	MEDIA	MONEY	MEASURE
who?	SMART goal	what + how	paid/own/earn/ret	resp. curve	did it work?

Taco Bell breakfast (only growing daypart): decide **Market first** (breakfast "defectors"); mission depends on target; all 6Ms **before any creative**. **SMART**: ✘ "cultural phenomenon" · ~ "sell more this year" · ✔ "sell **10% more** specialty coffee to **younger consumers this year**" (Dunkin'). **Creative brief** = strategy → creative direction.

Message must match the moment: Awareness (attention) → **Persuasion** (interest, change evaluation) → **Conversion** (action) = AIDA; know where the customer is in the journey (loyalty loop).

> **Why advertise if the sales effect is small?** ① long-term **brand equity** (associations, positioning, trust) ② raises **search volume, pricing power, distribution leverage** ③ **mental availability** (comes to mind at the moment of need; **Coca-Cola** consistent for decades). **S-shaped response curve**: too little = no effect → steep sweet spot → **diminishing returns**.

	Asks	How / limits
Attribution	split credit across touchpoints (display → search → buy)	user-level clicks, impressions; first/last click; **mostly online only**; credit ≠ cause
Incrementality	would they have bought **anyway**?	**holdout / market-matched test** (withhold or placebo/PSA ad to a mirror group); (test − control) ÷ test
MMM	each channel's contribution	years of historical data; **resurgent with privacy rules**; budget allocation, ROI by channel ✘ slow, no individuals, **collinear channels**, missing variables

Media: Paid = you buy it (TV, display, paid search) · **Owned** = you control it (site, app, community) · **Earned** = you win it (WOM, reviews, mentions) · **Sold/Retail** = you sell it. **Retail media networks**: retailer sells ads on its site/app (even to rivals) using **first-party purchase data** at the **moment of purchase**; $71B (+18%), **~74% Amazon/Walmart/Target**, #1 fastest-growing.

Ads → WOM → sales: +10% TV → ~69k more mentions; +1% WOM → only 0.01–0.06% sales; bigger in **entertainment/sports**. **Super Bowl** $8M/30s: WOM **spikes, decays fast**. Social ROI: **TikTok 42%**, IG 33%, YouTube 19%, Snap 6%; **YouTube = best value** (12–24 mo of views). **Gen AI**: 87% of marketers use it, but only **45% of Gen Z/Millennials like AI ads vs 82% of execs who assume so**.

⑨+ PRICE SENSITIVITY · BUNDLES · DYNAMIC · SUBSCRIPTIONS (exam review)

Elastic = small price change → big demand change · **Inelastic** = price ↑, people still buy. **Marketers WANT inelastic.**

LESS sensitive (inelastic)	MORE sensitive
no substitutes / necessity (pharma) · strong brand, **price = quality signal** · **switching costs** (Wells Fargo multi-account, learned software) · **hard to compare** (diff. model #s, pack sizes) · **3rd-party pays** (insurance, employer biz class) · **mental accounting** (vacation: Paris tourist trap vs Philly) · **scarcity** (Birkin, Ferrari invite-only) · **loyalty** (airline elite)	substitutes · discretionary (restaurants) · **can stockpile** (buy only on sale) · easy comparison (**Amazon** shows comps to push private label)

> **Scarcity**: fine for luxury; legal at **Walmart** but ethical/PR risk. **Fairness** decides.

Bundle < sum of parts: sensitive on **main item** (computer), insensitive on **peripherals** → margin there = **loss-leader** logic (grocery). **End-of-aisle** display removes visible substitutes.

Dynamic pricing → toward **1st-degree**, captures surplus; acceptance = **fairness**. **Uber** ✔ (labeled from start + **2-sided**: ↑price → ↑drivers) vs **Wendy's/Walmart** ✘ backlash (exploit need). Airlines/Amazon routine.

Surge vs gouging = perceived alternatives + fairness. Tip: frame as **off-peak discount**, not peak surcharge; be transparent.

Subscriptions: replenishment (**Harry's**) · curated box (**Birchbox**: $ from **full-size** buys) · tiered loyalty.

> **Iyengar loyalty study** (Asian beauty co.): **endogeneity / self-selection** (Prime members spend more because heavy spenders join). Program: **frequency ↑**, basket **slightly ↓**, effect **fades**; **~25% of members = no profit** → heterogeneity: use data for **differentiated incentives**, mind fairness.

STP, FOUNDATIONS, FIRM, BOYCOTTS (slides)

① **Target**: for whom? · ② **Point of difference**: why us? · ③ **Frame of reference**: vs what? · ④ **Reason to believe**: proof

"To *[target]*, *[brand]* is the *[frame]* that *[POD]* because *[RTB]*": internal → shown via 4Ps. POD must address the segment's **REAL** needs.

3 principles of marketing: Customer Value · Differential Advantage · Selectivity & Concentration. **Eras**: Production (market share) → Marketing (customer share, loyalty) → Experience (buzz, WOM, network effects) → Tech (LTV expansion, negative churn).

Pringles: parity blind taste, unbreakable can, 1-yr shelf life, 10% premium; aimed at heavy chip users "fresh/unbroken" vs bagged chips = attributes the **company/retailers** valued → trial 25% → repeat 7% (tasted artificial) → repositioned: kids/teens, fun snack vs **all snacks**, RTB = shape/crunch, portable, flavors, portion control → Kellogg $2.7B. *Make what you can sell, not sell what you make.*

Mktg–Ops–Finance: what do customers need (M) · can we deliver reliably (O) · does it create lasting value (F)? Silos: Mktg overpromises, Fin cuts long-term spend, Ops scales without demand. **Rolls-Royce** ✔ vs **Peloton** ✘ (COVID surge read as permanent → scaled capacity as demand faded; recall hurt brand). **Lululemon 5Cs**: Aug-2025 −20% stock = **Context** (tariffs, macro); Mirror buy 2020 = **Collaborator** misstep.

Boycotts: Nike Kaepernick +31%/+$6B (authentic to core, long activism) · Goya +22% short-run (**buzz ≠ behavior**: habit, loyalty, no substitutes) · **Bud Light** −28%, 8 mo, shelf space −5–7.5% (clashed with core identity, then **deflected**; polarized, substitutable, visible, identity, media, retailers). Lesson: know your core's identity, be authentic, stand by it, watch retailers.

CUSTOMER JOURNEY & AI (slides)

Journey = a web, not a line: find the **drop-off** and match the tool to the blockage: doesn't know the problem → awareness ads · doesn't understand the value prop → demos, simple message · doesn't **believe** it → **proof** (case studies, testimonials, ROI, trials) · worried about setup → implementation support · too pricey → EVC/ROI pricing, trials. **BOPAS** no slots: measure bounce → add slots or reset expectations.

B2B buying center: Initiator · **Gatekeeper** (controls info) · Influencer · Decider · Buyer · User.

AI shopping: use by stage Comparison 29% > Narrowing 24% > Final 21% > Discovery 19% > Purchase 8%. SEO → **GEO**: "known ≠ found" (44% SaaS). **Share of Model** = how often/favorably AI names you vs rivals; track monthly. AI reshapes each stage: awareness = AI answer engines · consideration = AI shortlist in 1 prompt · conversion = win AI's recommendation · retention = reviews train future AI picks. ~15% of categories have a clear AI "owner." **Playbook**: audit search dependence, track SoM, fix FAQs/comparison pages/llms.txt, mystery-shop with AI agents.

Digital twins (Toubia 2025): ≈0.2 correlation with real people; replicate ~½ of effects, **overestimate** effect sizes; prompt-sensitive. Why: hyper-rational, too little individuation, stereotypes, skewed training data. ✔ ideation, concept comparison, pre-tests, costly scenarios · ✘ individual prediction, precise demand, high stakes, "representative" claims → complement, don't replace; calibrate on a human panel. **Projection bias**: managers assume customers think like them → do the research.

ABBREVIATIONS

Course & strategy: 5Cs = Customers, Company, Competitors, Collaborators (partners), Context · **STP** = Segmentation, Targeting, Positioning · **4Ps** = Product, Price, Promotion, Place · **PESTLE** = Political, Economic, Social, Tech, Legal, Environmental · **POD** = Point of Difference: why pick us · **RTB** = Reason to Believe: proof of the POD · **Frame of ref.** = Frame of Reference: what you're compared against · **B / E / LP / F** = Kahn Matrix: Brand / Experiential / Low Price / Frictionless · **B2B · B2C** = Business-to-Business (sell to firms) · Business-to-Consumer · **CPG** = Consumer Packaged Goods: soap, snacks, drinks · **Money & math: CLV** = Customer Lifetime Value: profit from one customer over all years, in today's $ · **CAC · AC** = (Customer) Acquisition Cost: $ to win one customer · **m · r · i** = yearly margin · retention rate (% who stay) · discount rate · **UC** = Unit Contribution: price − variable cost (profit per unit) · **VC · OH** = Variable Cost (per unit) · Overhead (fixed running costs) · **BE** = Break-Even: sales where profit = $0 · **BECR** = Break-Even Cannibalization Rate: max % of a cheaper new product's sales that may come from your own old product · **EVC** = Economic Value to the Customer: max a fully informed customer should pay (price ceiling) · **WTP** = Willingness To Pay · **wCPM** = weighted Cost Per Thousand: ad cost per 1,000 TARGET people reached · **Marketing terms: IMC** = Integrated Marketing Communications: all channels, one message · **6Ms** = Market, Mission, Message, Media, Money, Measurement · **SMART** = Specific, Measurable, Achievable, Relevant, Time-bound · **AIDA** = Awareness, Interest, Desire, Action · **MMM** = Marketing Mix Model: stats on years of spend + sales data · **PSA** = Public Service Announcement (placebo ad in tests) · **POP** = Point of Purchase (in-store display, packaging) · **eWOM** = electronic (online) word of mouth · **QSR** = Quick-Service Restaurant (fast food) · **SKU** = Stock-Keeping Unit: one specific product version · **SoM** = Share of Model: how often/favorably AI chatbots name your brand · **EDLP** = Everyday Low Price: steady low prices (Walmart) · **DTC** = Direct-to-Consumer: brand sells to you itself, no store in between · **WOM** = Word of Mouth · **BAV** = BrandAsset Valuator (Young & Rubicam): brand-health scorecard · **SEO · GEO** = Search / Generative Engine Optimization: show up on Google vs in AI-chat answers · **Company short forms: P&G** = Procter & Gamble · **LVMH** = Louis Vuitton Moët Hennessy ·